

MINI BUSINESS ANALYSIS REPORT

Veda Technology – Data Science Internship

Task 10 – Level 1 Day 10

1. Business Problem

The objective of this analysis is to evaluate overall business performance using sales, profit, visitor, and conversion data.

The key business question is:

How is the business performing, and what actions can improve revenue, profitability, and customer conversion?

2. Objective

The analysis aims to:

- Measure overall business performance.
 - Calculate important business KPIs.
 - Identify high-performing product categories.
 - Understand revenue and profitability trends.
 - Identify areas requiring improvement.
 - Provide actionable business recommendations.
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3. Dataset

The analysis uses a retail/e-commerce sales dataset containing:

- Order ID
- Order Date
- Customer ID
- Category
- Quantity
- Sales
- Profit
- Visitors
- Conversions

Total Orders Analyzed: 20

4. Methodology

The following steps were followed:

1. Organized the sales dataset in Excel/Google Sheets.
 2. Calculated key business KPIs.
 3. Analyzed revenue and profit performance.
 4. Compared product categories.
 5. Examined conversion and revenue growth.
 6. Identified important business findings.
 7. Developed recommendations based on the findings.
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5. Key Performance Indicators

KPI	Result
Total Revenue	₹171,000
Total Profit	₹34,675
Profit Margin	20.28%
Average Order Value	₹8,550
Total Orders	20
Conversion Rate	5.52%
Revenue Growth Rate	-29.85%

6. Category Performance

Category	Revenue	Profit
Electronics	₹65,500	₹11,100
Furniture	₹52,500	₹8,825
Clothing	₹53,000	₹14,750

Category Insights

- **Electronics** generated the highest revenue at ₹65,500.

- **Clothing** generated the highest profit at ₹14,750.
 - Furniture produced moderate revenue and profit compared with the other categories.
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7. Key Findings

Finding 1 – Revenue Performance

The business generated total revenue of **₹171,000** from 20 orders.

Finding 2 – Profitability

Total profit was **₹34,675**, resulting in a **20.28% profit margin**.

Finding 3 – Average Order Value

The Average Order Value was **₹8,550**, showing the average revenue generated per order.

Finding 4 – Revenue Leader

Electronics was the highest revenue-generating category with **₹65,500** in sales.

Finding 5 – Profit Leader

Clothing generated the highest profit at **₹14,750**, making it an important category from a profitability perspective.

Finding 6 – Conversion

The overall conversion rate was **5.52%**, indicating an opportunity to improve the percentage of visitors who convert.

Finding 7 – Revenue Decline

Revenue declined by approximately **29.85%** in the second period compared with the first period.

Finding 8 – Business Priority

The major priorities should be improving conversion, increasing revenue, and maintaining focus on profitable products.

8. Business Recommendations

1. Improve Revenue

Increase targeted promotions and marketing campaigns for high-revenue categories such as Electronics.

2. Focus on Profitability

Give greater attention to profitable Clothing products while maintaining healthy profit margins.

3. Improve Conversion

Use better offers, product recommendations, customer engagement, and improved purchasing experiences to increase the conversion rate.

4. Address Revenue Decline

Investigate the reasons behind the 29.85% revenue decline and introduce targeted sales strategies to recover lost revenue.

9. Facts vs Assumptions

Facts

- Total revenue: ₹171,000
- Total profit: ₹34,675
- Profit margin: 20.28%
- Conversion rate: 5.52%
- Revenue growth: -29.85%
- Electronics has the highest revenue.
- Clothing has the highest profit.

Assumptions

The analysis assumes that the provided dataset accurately represents the business activity during the analysis period and that the recorded visitors and conversions are reliable.

10. Tools Used

- Microsoft Excel / Google Sheets
 - Excel formulas
 - Data analysis and business KPI calculations
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11. Conclusion

The analysis shows that the business generated **₹171,000 in revenue and ₹34,675 in profit**, with a healthy **20.28% profit margin**.

Electronics is the strongest category in terms of revenue, while Clothing is the strongest in terms of profit. However, the **29.85% decline in revenue** and relatively low **5.52% conversion rate** indicate areas that require attention.

The recommended strategy is to increase targeted sales and marketing activities, improve customer conversion, and focus on profitable products while investigating the causes of the revenue decline.

This analysis demonstrates how business data can be converted into clear insights and actionable recommendations for non-technical stakeholders.